GPS CONSULTING

FINANCIAL DIAGNOSTIC REPORT · APRIL 2026

FINANCIAL DIAGNOSTIC REPORT

Cash Flow & Working Capital Analysis

COMPANY ALPHA

Construction Sector · SRL · Wallonia, Belgium · FY 2024

Prepared by: GPS Consulting | Fiscal Year: 01/01/2024 – 31/12/2024 | All data anonymized

⚠ **CRITICAL RISK LEVEL IDENTIFIED — Immediate management action required**

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Executive Summary

FY 2024 — FINANCIAL HEALTH OVERVIEW

KEY PERFORMANCE INDICATORS

NET RESULT FY2024
-1,713 EUR
vs +3,647 EUR (FY2023) ↓

CASH POSITION
7,065 EUR
vs 2,065 EUR (FY2023) ↑

EQUITY RATIO
16.5%
vs 55.1% (FY2023) ↓↓ CRITICAL

DEBT / EQUITY
5.08×
vs 0.82× (FY2023) ↓↓↓

CURRENT RATIO
1.15
vs 2.22 (FY2023) · Min 1.5

WORKING CAPITAL
4,069 EUR
vs 7,013 EUR (FY2023) ↓ -42%

STRATEGIC ASSESSMENT

- Company Alpha, a Belgian construction SRL in its second fiscal year, posted a net loss of EUR -1,713.35 in FY2024 after a profitable first short period (EUR 3,647.00 in 3.5 months). The gross margin turned negative at EUR -551.41, indicating the company is losing money on its core activity. The balance sheet grew 153% to EUR 32,215.92, driven by massive increases in both trade receivables (+117%) and trade payables (+1,356%). Cash improved to EUR 7,064.66 (+EUR 4,999.66), but this is entirely driven by supplier credit accumulation, not operating profitability. The equity ratio collapsed to 16.5% (from 55.1%), and debt-to-equity surged to 5.08x. The worst-case survival horizon is only 3.4 months. Immediate action is required on pricing, receivables collection, and financial governance.

⚠ **CRITICAL RISK IDENTIFIED — IMMEDIATE ACTION REQUIRED**

Company Alpha is loss-making at the gross margin level (EUR -551.41) while its equity ratio has collapsed to 16.5% (from 55.1%). The company's current cash position of EUR 7,065 is entirely financed by EUR 17,264 in accumulated supplier debt. Worst-case survival horizon: **3.4 months**. Pricing, receivables collection, and capital structure must be addressed immediately.

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Financial Health Diagnostic

COMPREHENSIVE RISK ASSESSMENT — FY 2024

2
/ 10
CRITICAL

- **Profitability**
  Gross Margin NEGATIVE — core activity loses money on every project
- **Capital Structure**
  Equity Ratio 16.5% (critical < 25%) — Debt/Equity 5.08× (extreme)
- **Cash Sustainability**
  Cash generated 100% from supplier credit — zero organic generation
- **Liquidity**
  Current Ratio 1.15 (below safe threshold of 1.5) — cash ratio only 0.26
- **Working Capital**
  WC declined -42% while balance sheet grew +153% — structural mismatch

⏱ RECOVERY ROADMAP — PRIORITY ACTION TIMELINE

Now
Fix pricing & stop all loss-making contracts

Month 2
Accelerate AR collection — target EUR 6–11K freed

Month 3–4
Establish bank credit line EUR 10–15K safety net

Month 6+
Equity > 25% & positive gross margin restored

Fix Pricing

Impose minimum 15–20% gross margin on all new contracts. Audit current projects for losses and renegotiate immediately.

Collect Receivables

EUR 21,706 in outstanding receivables. Enforce 30-day payment terms. Consider factoring for invoices > EUR 5,000.

Emergency Credit Line

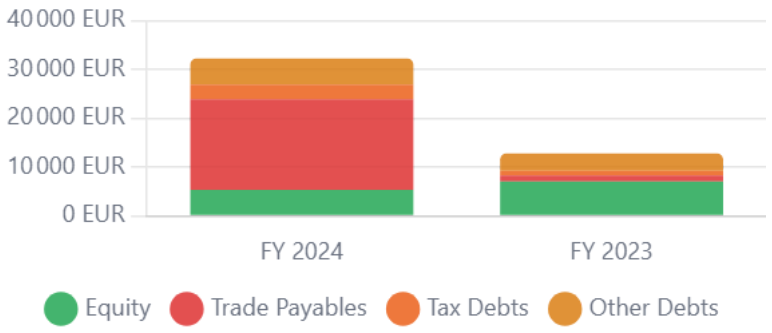
Negotiate a EUR 10–15K revolving credit facility. Zero backup financing is unacceptable for a growing SME.

Financial Overview

BALANCE SHEET COMPOSITION & INCOME STATEMENT — FY 2024 VS FY 2023

BALANCE SHEET COMPOSITION

FY2024 vs FY2023 — Liabilities & equity structure

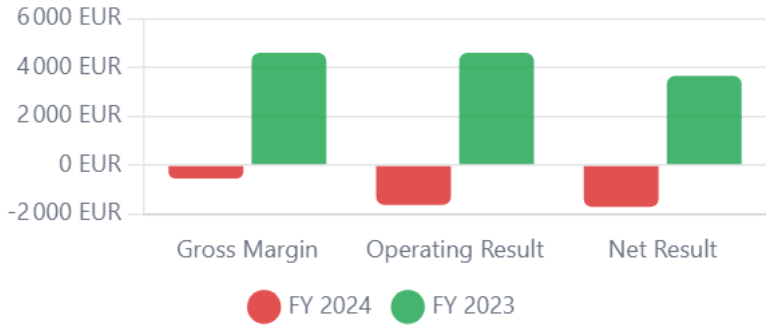


RECEIVABLES & ASSET QUALITY

Trade receivables grew 117% from EUR 10,000.00 to EUR 21,706.00. Key findings: - AR represents 67.4% of total assets and 3.1x the cash position - Other receivables also grew significantly: EUR 2,213.29 (from EUR 655.00, +238%) - Total receivables: EUR 23,919.29 Concentration Risk: As a micro-entity with likely 1-3 active construction projects, client concentration risk is extremely high.

PROFITABILITY SWING

From profit to loss — dramatic reversal in one fiscal year



CAPITAL STRUCTURE RISK

The capital structure has deteriorated dangerously in one year. Solvency indicators: - Equity Ratio: 16.5% (from 55.1%) - CRITICAL, below 25% threshold - Debt Ratio: 83.5% (from 44.9%) - Leverage (D/E): 5.08x (from 0.82x) - VERY HIGH Profitability: - ROE: -32.3% (from 52.0%) - NEGATIVE - ROA: -5.3% (from 28.6%) - NEGATIVE Liquidity: - Current Ratio: 1.15 (from 2.22) - Cash Ratio: 0.26 (from 0.3...

Cash Flow Analysis

INDIRECT METHOD RECONSTRUCTION — FY 2024

CASH FLOW WATERFALL

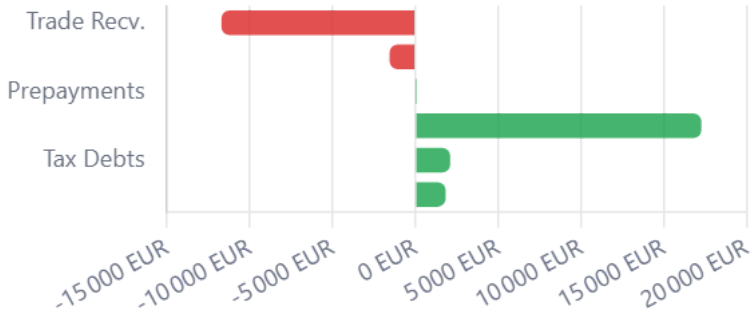
From net result to closing cash — indirect method

CASH FLOW COMMENTARY

The cash flow statement was reconstructed using the indirect method from balance sheet movements, as the micro model does not include a direct cash flow statement. Operating Activities: - Net Result: EUR -1,713.35 - (+) Depreciation: EUR 268.03 - Cash before WC changes: EUR -1,445.32 Working Capital Changes: - Trade Receivables: EUR -11,706.00 (major cash drain) - Trade Payables: EUR 17,263.72 (primary cash source) - Tax Debts: EUR 2,099.69 - Other Debts: EUR 1,826.08 - Total WC Change: EUR 7,944.20 Cash from Op...

WORKING CAPITAL IMPACT ON CASH

Breakdown of WC changes driving cash generation



WORKING CAPITAL CASH DYNAMICS

EUR 4,999.66 cash increase is NOT from profitability. The company generated cash by accumulating EUR 17,263.72 in new supplier debt. This is unsustainable. 122% of cash generation comes from delaying supplier payments. When suppliers demand payment, this cash advantage evaporates instantly.

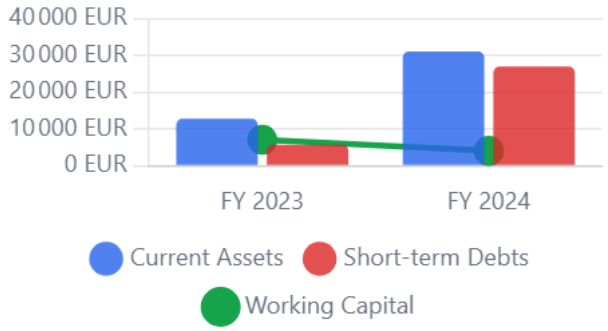
Working Capital

LIQUIDITY POSITION & TRADE CYCLE — FY 2024 VS FY 2023

WORKING CAPITAL	NET TRADE POSITION	TRADE RECEIVABLES	TRADE PAYABLES
4,069 EUR	3,169 EUR	21,706 EUR	18,537 EUR

WC EVOLUTION

Current assets vs short-term debts



AR VS AP

You are financing your clients

WORKING CAPITAL ANALYSIS

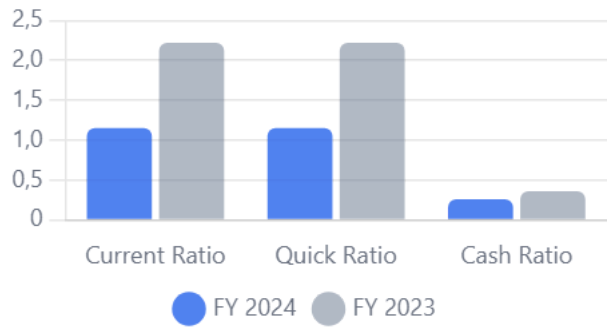
Working capital declined 42% from EUR 7,013.00 to EUR 4,068.46, while the balance sheet grew 153%. Working Capital Components: - Current Assets: EUR 30,983.95 (from 12,739.00) - Short-term Debts: EUR 26,915.49 (from 5,726.00) - Current Ratio: 1.15 (from 2.22, below safe threshold of 1.5) Net Trade Position: - Trade Receivables: EUR 21,706.00 - Trade Payables: EUR 18,536.72 - Net Position: EUR 3,169.28 The company is financing its clients.

Financial Ratios

FY 2024 VS FY 2023 — ALL KEY RATIOS DETERIORATED

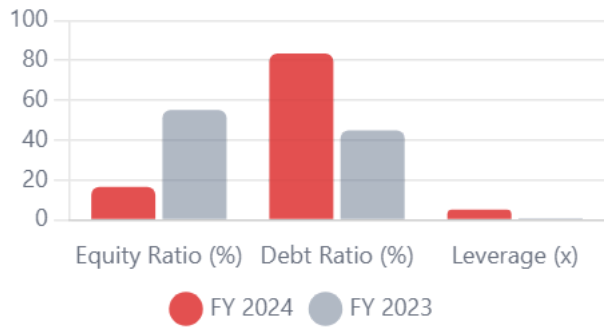
LIQUIDITY RATIOS

FY2024 vs FY2023



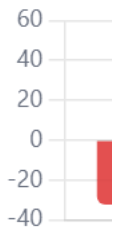
SOLVENCY RATIOS

Capital structure deterioration



PROFITABI

From profitable



Category	Ratio	FY 2024	FY 2023	Assessment
LIQUIDITY	Current Ratio	**1.15**	2.22	**LOW (< 1.5)**
LIQUIDITY	Cash Ratio	**0.26**	0.36	**VERY LOW**
SOLVENCY	Equity Ratio	**16.5%**	55.1%	**CRITICAL (< 25%)**
SOLVENCY	Leverage (D/E)	**5.08×**	0.82×	**VERY HIGH**
PROFITABILITY	ROE	**-32.3%**	+52.0%	**NEGATIVE**
PROFITABILITY	ROA	**-5.3%**	+28.6%	**NEGATIVE**

STRUCTURAL RISK COMMENTARY

The capital structure has deteriorated dangerously in one year. Solvency indicators: - Equity Ratio: 16.5% (from 55.1%) - CRITICAL, below 25% threshold - Debt Ratio: 83.5% (from 44.9%) - Leverage (D/E): 5.08x (from 0.82x) - VERY HIGH Profitability: - ROE: -32.3% (from 52.0%) - NEGATIVE - ROA: -5.3% (from 28.6%) - NEGATIVE Liquidity: - Current Ratio: 1.15 (from 2.22) - Cash Ratio: 0.26 (from 0.36) - VERY LOW Structural risks: - Zero long-term debt creates 100% reliance on short-term financing - No credit line me...

Scenario Analysis

SURVIVAL HORIZON MODELLING — THREE SCENARIOS

⚠ WORST CASE

3.4

months runway

Available cash: EUR 553

30% receivables default + 15% cost increase

BASE CASE

49.5

months runway

Available cash: EUR 7,065

Current trajectory (misleading: relies on supplier credit)

✓ BEST CASE

125.7

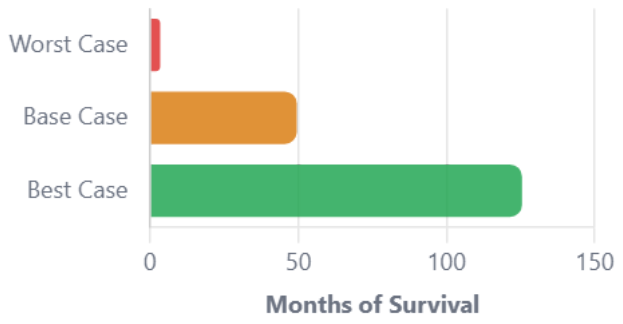
months runway

Available cash: EUR 17,918

Collect 50% of receivables + fix pricing

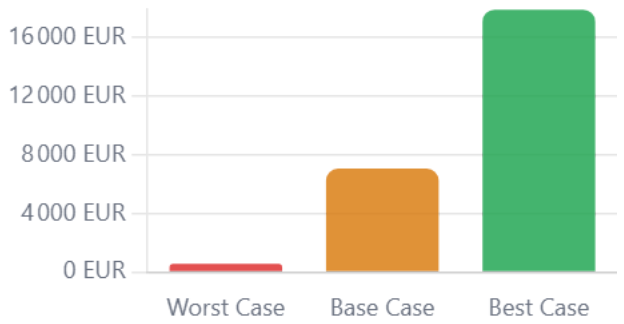
SURVIVAL HORIZON COMPARISON

Months of runway under each scenario



CASH BY SCENARIO

Available liquidity comparison



⚠ **REALISTIC HORIZON: 3–6 MONTHS WITHOUT ACTION**

The base case survival of 49.5 months is misleading — it assumes continuous supplier credit accumulation which is unsustainable. The true operating burn (before WC) is EUR -1,445/month. One significant client default eliminates the buffer entirely.

SCENARIO MODELLING NOTES

Three scenarios were modeled to assess the company's survival horizon. BASE CASE - Current trajectory continues: - Monthly burn rate: EUR 142.78 - Available cash: EUR 7,064.66 - Survival: 49.5 months - Note: This appears comfortable but is misleading. It assumes the company continues to accumulate supplier debt at the current rate, which cannot continue indefinitely. BEST CASE - Accelerate 50% of receivables collection: - Additional cash from faster collection: EUR 10,853.00 - Total available cash: EUR 17,917.66...

Key Insights

FIVE CRITICAL FINDINGS — ACTIONABLE INTELLIGENCE FOR MANAGEMENT

⚠ NEGATIVE GROSS MARGIN - THE COMPANY IS LOSING MONEY ON ITS CORE ACTIVITY

Gross margin swung from EUR 4,591.00 (FY2023, 3.5 months) to EUR -551.41 (FY2024, 12 months). This is a fundamental pricing/cost problem.

SO WHAT? Gross margin swung from EUR 4,591.00 (FY2023, 3.5 months) to EUR -551.41 (FY2024, 12 months). This is a fundamental pric

📉 GROWTH IS DESTROYING CASH AND EQUITY

Balance sheet grew 153% but equity fell 24%. Growth was financed entirely through supplier credit (+EUR 17,263.72 in trade payables). This leverage is extreme a

SO WHAT? Balance sheet grew 153% but equity fell 24%. Growth was financed entirely through supplier credit (+EUR 17,263.72 in tra

🏦 DANGEROUS CAPITAL STRUCTURE

Equity ratio collapsed to 16.5%. Debt-to-equity surged to 5.08x. Zero long-term debt, zero credit facilities. All financing is short-term supplier credit.

SO WHAT? Equity ratio collapsed to 16.5%. Debt-to-equity surged to 5.08x. Zero long-term debt, zero credit facilities. All financ

💸 THE COMPANY OPERATES WITHOUT A SAFETY NET

No credit line, no LT debt, no reserves, no provisions. Cash of EUR 7,064.66 against EUR 26,915.49 in short-term obligations.

SO WHAT? No credit line, no LT debt, no reserves, no provisions. Cash of EUR 7,064.66 against EUR 26,915.49 in short-term obligat

💥 CASH FLOW IS MISLEADING

The EUR 4,999.66 cash increase is entirely from delayed supplier payments, not from profitability. The true operating cash flow (before WC changes) is EUR -1,44

SO WHAT? The EUR 4,999.66 cash increase is entirely from delayed supplier payments, not from profitability. The true operating ca

Recommendations

PRIORITY ACTION PLAN — STRUCTURED BY URGENCY & IMPACT

URGENT Review pricing immediately - gross margin is NEGATIVE. Ensure minimum 15-20% margin on all projects.

URGENT Accelerate receivables collection - implement strict 30-day payment terms with late penalties. Could free up EUR 6,500-10,800 in trapped cash.

URGENT Invoice immediately upon project milestone completion, not at project end.

URGENT Require advance payments (30-50%) on new construction contracts.

HIGH Negotiate formal 60-90 day payment terms with key suppliers to formalize current practice.

HIGH Establish a bank credit line (EUR 10,000-15,000) as financial safety net.

HIGH Build a weekly 13-week rolling cash flow forecast for early warning.

HIGH Consider invoice factoring for receivables above EUR 5,000.

STRATEGIC Stop all dividend distributions until equity ratio exceeds 30% and profitability is restored.

STRATEGIC Implement per-project profitability tracking to identify and eliminate loss-making work.

STRATEGIC Diversify client base to reduce concentration risk.

STRATEGIC Evaluate growth vs. cash trade-off - balance sheet growth of 153% with declining working capital (-42%) is unsustainable.

GPS CONSULTING — NEXT STEPS

This report should be reviewed with the managing director within 48 hours. GPS Consulting recommends scheduling a follow-up financial review in 30 days to assess progress on pricing correction, receivables collection, and credit line establishment. A weekly 13-week cash flow forecast should be implemented immediately.